

KALE REALTY

AGENTS CALL IT THE EASY CLOSE. IT ISN'T.

Investment-property loans are the segment mortgage fraud trackers watch closest right now.

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**1 IN 44
INVESTMENT-PROPER
LOANS FLAGS FOR
FRAUD RISK.**

Every other loan type in the market flags at 1 in 119.
Investor deals are the outlier, and it isn't close.

THE RISK LIVES IN THE PROPERTY TYPE, NOT THE BORROWER'S STORY.

Cotality, which tracks mortgage fraud risk signals, found that by the end of the second quarter of 2026, 1 in 119 mortgage applications overall showed signs of elevated fraud risk. For investment properties, that jumped to 1 in 44, and for two-to-four-unit properties it rose to 1 in 27. Matt Seguin, Cotality's senior principal of mortgage fraud solutions, said those two segments have been the riskiest in the market for fifteen-plus years, and their share of total loan volume climbed from about 7 percent in 2024 to about 12 percent in 2026, a 58 percent jump in two years. The data tracks where the red flags fire, not confirmed fraud, and it includes both DSCR and government-backed investor loans. Either way, the segment agents wave through as a routine close is the one the fraud data is watching hardest.

BEFORE YOU SEND A CLIENT TO A DSCR LENDER:

- 1 Ask what fraud checks the lender actually runs.**
LLC cross-checks, document verification, and
- 2 appraisal review aren't standard at every DSCR lender.**
- 3 Get the loan-to-value in writing.**
A borrower putting 30 percent down is a different risk
- 4 than one putting 10.**
- 5 Confirm a personal guarantee is required on the LLC.**
It's the lender's main leverage if the
- 6 deal goes bad, and it's worth knowing whether yours has one.**
- 7 Ask about the property type before the loan type.**
Two-to-four-unit investment properties
- 8 carry the highest flag rate in the data. Price that into the conversation with your client.**

THE TAKEAWAY

**YOUR INVESTOR
CLIENT'S DEAL IS
ONLY AS SAFE AS
THE LOAN BEHIND
IT.**

Ask the lender the hard question before the underwriter has to.